A RESOLUTION ADOPTING THE RULES ON THE GAS AUCTION THRESHOLD PRICE DETERMINATION METHODOLOGY, GAS PRICE BENCHMARK, AND SETTLEMENT MECHANISM FOR THE MID-MERIT NATURAL GAS CAPACITY AUCTION PROGRAM UNDER DEPARTMENT OF ENERGY DEPARTMENT CIRCULAR NO. DC2026-06-0013

Company: South Premiere Power Corp and Excellent Energy Resources Inc.

Page/Section Number	Discussion of Comment(s) and/or Questions for Clarification	Comment/s and Suggestion/s
Section 5	Clarification on Section 5 which provides "xxx compute using a set of financial and technical assumptions."	The provision should clarify that the financial and technical assumptions used to compute the GAT Price must remain applicable and representative throughout the entire contract period of the award. This will ensure that the GAT Price reflects the relevant costs and technical conditions throughout the entire contract period. Thus, the assumptions used to set the GAT Price under Section 8 and Annex A should not be based solely on current and prevailing conditions of the reference plants.
Section 6	Clarification on Section 6, which provides the different Facility Types.	Clarification on whether a facility initially classified as an OCGT may subsequently shift to a CCGT, and whether the Facility Type may be changed during the Contract Period.
Section 7.1	Clarification on Section 7.1., which provides: "No later than sixty (60) calendar days after the issuance of the ITB for the first auction round, the Commission shall issue:	The DOE mandates the ERC to issue both the approved Price Methodology and the corresponding GAT Price. Accordingly, the provision should require the issuance of both, rather than allowing the Commission to issue either one of the two. Proposed Revision:

	(a) The approved Gas Auction Threshold Price Determination Methodology in accordance with these Rules; **or** (b) The initial GAT Price for each applicable Facility Type."	Section 7.1. No later than sixty (60) calendar days after the issuance of the ITB for the first auction round, the Commission shall issue: (a) The approved Gas Auction Threshold Price Determination Methodology in accordance with these Rules; **and** (b) The initial GAT Price for each applicable Facility Type."
Section 8	Section 8.3 does not specify whether Fixed O&M, Variable O&M, and G&A Costs are held constant in nominal terms throughout the Reference Operating Period when calculating the levelized GAT Price, or are escalated for inflation before the calculation.	Section 11.5 allows a one-time indexation adjustment between the date of the Certificate of Award and the Commercial Operations Date. However, the last sentence of the said provision, provides that there will be no further indexation of the GAT Price or GAP for the remainder of the term of the Certificate of Award. If so, since the GAT Price and GAP will be fixed for the term and will not be indexed after COD, the initial DCF calculation should already incorporate the expected inflationary escalation of recurring Fixed O&M, Variable O&M, and G&A costs. *(e.g. escalated year-over-year using a published inflation index (i.e Philippine CPI for capital goods and services)*, throughout the Reference Operating Period to ensure that the resulting GAT Price provides adequate cost recovery.
Section 11.5	Clarification on Section 11.5 which provides: "xxx No further indexation shall be applied to the **GAT Price or GAP** for the remainder of the term of the Certificate of Award."	
Section 13.4	Clarification on Section 13.4 which provides:	The cap should consider the specific characteristics of each facility, including its size, location, facility type, and

	"Capped Landed Logistics Cost Allocations. xxx The allowable Add-on costs enumerated in Section 17 (regasification/terminal fees, pipeline transportation fees, and the boil-off gas allowance) shall be embedded, on a levelized and capped basis, in the GAT Price. xxx"	fuel source. It should not prevent the recovery of legitimate and prudently incurred logistics costs, particularly since regasification, terminal, pipeline transportation, and boil-off gas costs may vary depending on the facility's location, configuration, and operating requirements..
Section 15	Clarification on Section 15.1 (a) Spot LNG Benchmark which provides: "The three (3)-month trailing average of the Japan/Korea Marker spot price for LNG, as published by S&P Global Platts xxx"	Clarification on the use of the "three-month trailing average", considering that the actual cost of spot LNG is generally determined based on the prevailing JKM price at or around the time of delivery. Accordingly, applying a three-month trailing average at the time of billing may not accurately reflect the actual cost of LNG delivered during the relevant period.
Section 15	Clarification on Section 15.1 (c) Long-Term Contract Equivalent which provides: "For Winning Bidders procuring LNG under long-term sale and purchase agreements, the Commission shall compare the contract price against the applicable spot benchmark and may allow the use of long-term contract price where it results in lower landed cost."	Long-term LNG SPAs typically include take-or-pay commitments, regardless of market price movements. As a result, the term LNG price may, at times, be higher than the prevailing spot price (*e.g. fuel crisis)* . Capping the allowable price at the lower of the term and spot prices would undermine the purpose of long-term contracting. Accordingly, the contracted term price under the Fuel Contract should be respected and allowed for recovery.
Section 17	Clarification on Section 17, which provides:	The exact default cap for each add-on cost component should be provided by the Commission, to ensure transparency and consistency among bidders.

	"xxx Pending the Commission's determination of specific caps for a given Auction Round under this Section, the default cap for each add-on cost component shall be the most recent Commission-approved or DOE regulated tariff or rate for the corresponding service or, in the absence thereof, the average of atleast three (3) comparable third-party service quotations submitted by the Winning Bidder, subject to Commission's verification. xxx"	The provision should also clarify how "the average of at least three (3) comparable third-party service quotations submitted by the Winning Bidder" will serve as the default cap once the Supply Agreement is operationalized, including whether monthly adjustments to the add-on costs will be subject to the three-bidder rule.
Section 17	Clarification on Section 17. 1. Allowable Add-on Costs, which provides: "xxx no cost recovered as an Allowable Add-On Cost under this Section shall simultaneously be included, in whole or in part, in the in Fixed O&M, Variable O&M, General and Administrative, or All-In Project Cost components used to determine the GAT Price under Rule 2 of these Rules. The Commission shall verify the absence of such double recovery	The Winning Bidder's own dedicated regasification facility should be treated as CapEx and included in the All-In Project Cost under Section 8.1, with recovery based on the same WACC applicable to the reference project, subject to the true-up under Section 11.5. It should not be subject to the Allowable Caps under Section 17 for Regasification/Terminal Fees, which should apply only to genuine third-party service agreements.

	as part of its audit under Section 25 of these Rules. xxx" 2. Add on Cost Component: Regasification/Terminal Fee under Section 17 Table.	
Section 17	Section 17 allows the Commission to approve add-on costs above the prescribed cap if the excess cost is proven to be prudent, reasonable, and unavoidable. However, it does not specify the review period or criteria for evaluating such requests. Since the Section 17 cap is a general, market-based ceiling applicable to all bidders, the exception process for above-cap costs should therefore be clearly defined and reasonably administered.	We respectfully request that the Commission specify a defined review period (*e.g., thirty (30) to sixty (60) calendar days*) and publish the evaluation criteria for exception requests under Section 17. This will give Winning Bidders a workable, predictable mechanism for reflecting genuine project-specific circumstances.
Section 22	Section 22 Monthly Fuel Cost Reporting uses "calendar month".	We suggest using **"billing month"** to align the fuel cost reports with the applicable billing periods.
Section 22	Section 22 item (e) states "JKM or applicable reference index price for the month"	We request the Commission to consider including other industry-accepted benchmarks**,** such as **Dated Brent**, to provide flexibility in determining the applicable fuel price benchmark.
Section 28	Clarification on Section 28 Required Contents of the Settlement Mechanism, which provides:	We seek clarification from the Commission on whether there will be guaranteed dispatch for the Winning Bidder to reasonably recover its All-In Project Cost and Operation and Maintenance Costs during the Contract Period.

	"it being the policy of these Rules that Winning Bidders be compensated strictly on a per-kilowatt-hour-delivered basis at the endorsed GAP plus certified Fuel Cost."	
Section 28	Section 28 requires that Winning Bidders be compensated strictly on a per-kWh-delivered basis, with no capacity fee or fixed charge "independently of, or not directly proportional to, Energy Delivered." Section 28(h) separately requires the Settlement Mechanism to address "dispatch curtailments directed by the System Operator, and other operational factors affecting energy delivery," but the Rules do not specify how. Mid-Merit Facilities are, by design, dispatched below full capacity based on system needs. Thus, a Winning Bidder may have reduced Energy Delivered due to dispatch decisions entirely beyond its control, with no defined adjustment mechanism.	The Settlement Mechanism under Section 27 must clearly define the treatment of reduced Energy Delivered under Section 28(h), particularly distinguishing between: 1. Reduced Energy Delivered due to System-Operator-directed curtailment, which should be subject to an appropriate compensation mechanism; 2. Reduced Energy Delivered due to Force Majeure, which should be subject to a separate mechanism; and 3. Reduced Energy Delivered due to the Winning Bidder's own operational underperformance. This distinction will ensure that each type of reduced Energy Delivered is treated appropriately.
Section 33.	Clarification on Section 33. Carve-Out Mechanism which provides: "Where a designated off-taker DU experience migration of its captive	We respectfully request that the Carve-Out Mechanism be treated as a last resort**,** and that reasonable measures first be considered to address the impact of customer migration without immediately reducing the Winning Bidder's contracted BCQ. This is important to preserve the

	customers to the Customer Choice Program in the Retail Market, the contracted BCQ of each Winning Bidder/s supplying that DU shall be proportionally reduced, in proportion to each Winning Bidder/s' respective share of the DU's total contracted BCQ xxx"	contractual commitments and revenue certainty relied upon by the Winning Bidder in entering into the Supply Agreement.
Annex A Page 1 of 23	Clarification on Item A.3 of Annex A, which uses the following plants as references for the All-In Project Cost: FNPC San Gabriel, EERI, and FGP-San Lorenzo.	We seek clarification from the Commission on the basis for using these plants as references for all Facility Types, regardless of capacity. Project cost build-up and underlying assumptions may differ significantly between small- and large-capacity plants.